

Warsaw, June 21, 2023

Decision

DKE.561.4.2023

Pursuant to Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws 2023, item 775, consolidated text) in connection with Article 7(1) and (2) and Article 60 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws 2019, item 1781) and based on Article 57(1)(a) and (h), Article 58(2)(b) in connection with Article 31 and Article 58(1)(a) and (e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) (Official Journal of the EU L 119 of May 4, 2016, p. 1, with amendments published in Official Journal of the EU L 127 of May 23, 2018, p. 2, and in Official Journal of the EU L 74 of March 4, 2021, p. 35), hereinafter referred to as the "Regulation 2016/679", after conducting an ex officio administrative proceeding regarding the imposition of an administrative monetary penalty on Mr. S. Ł., conducting business under the name "S" based in P., the President of the Personal Data Protection Office issues a reprimand to Mr. S. Ł., conducting business under the name "S" based in P., for violating the provisions of Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, consisting of a lack of cooperation with the President of the Personal Data Protection Office in the performance of his duties and failing to provide the President of the Personal Data Protection Office access to personal data and information necessary for the execution of his tasks in the proceedings with reference number DS.523.1341.2021.

JUSTIFICATION

Factual Background

A complaint was submitted to the Personal Data Protection Office by Mr. B. K., residing in the locality of W. (hereinafter referred to as the "Complainant") regarding irregularities in the processing of his personal data by Mr. R. T. and Mr. S. Ł., conducting business within the civil partnership designated "C." (...) s.c., based in L. at ul. (...), consisting of the disclosure of the Complainant's personal data including his first name, surname, PESEL number, address, and income information contained in the PIT-11 form, by sending it to the email address of a third party. In connection with the above, the President of the Personal Data Protection Office (hereinafter referred to as the "President of UODO") initiated explanatory proceedings under reference number DS.523.1341.2021.

As part of the aforementioned administrative proceedings – by letter dated February 28, 2022 – the President of UODO requested Mr. S. Ł., currently conducting business under the name "S" based in P. (hereinafter referred to as the "Entrepreneur") to respond to the allegations raised in the complaint and to provide detailed explanations regarding the matter by:

- 1) "indicating until when Ms. K. M. [to whom the Complainant's personal data contained in the PIT-11 form was disclosed] was employed at "C." (...) s.c., providing the exact date of termination of cooperation;
- 2) sending a copy of the scope of duties of Ms. K. M. in her position."

The fact that Mr. R. T. ceased to conduct business as of February 1, 2022, resulting in the dissolution of the civil partnership designated "C." s.c. by operation of law, was irrelevant to the validity of the request for explanations from the Entrepreneur. Both the incident described in the complaint and the submission of the complaint to the President of UODO occurred while the Entrepreneur was conducting business under the civil partnership agreement and, as a partner, was entitled (and simultaneously obliged) to manage the affairs of the partnership.

The request dated February 28, 2022, sent to the address of the permanent place of business of the Entrepreneur disclosed in the Central Register and Information on Economic Activity, was delivered into the hands of the Entrepreneur on March 14, 2022. In response to this correspondence, by letter dated March 19, 2022, the Entrepreneur provided brief explanations, indicating the date of termination

of the employment relationship with Ms. K. M., but refused to present the scope of her duties, citing business secrecy. In light of this, by letter dated September 16, 2022, the President of UODO again contacted the Entrepreneur, requesting the submission of information necessary for the substantive examination of the case under reference number DS.523.1341.2021 (see point 2 of the justification of this decision). At the same time, this letter contained a warning indicating that failure to provide comprehensive explanations regarding the matter may result in the imposition of an administrative monetary penalty on the Entrepreneur, in accordance with Article 83(5)(e) of Regulation 2016/679. This request was delivered into the hands of the Entrepreneur on September 21, 2022. Despite receiving the correspondence, the Entrepreneur did not take any action and did not respond to the request.

****No means to request from the data protection authority.****

The above factual circumstances were established by the President of the Personal Data Protection Office (UODO) based on the entirety of the official correspondence conducted between the Entrepreneur and the President of UODO, which is included in the case files of proceedings with reference number DS.523.1341.2021. This correspondence fully and exhaustively documents all attempts made by the President of UODO to gain access to personal data and information necessary for the performance of his duties – that is, to consider the case with reference number DS.523.1341.2021. On the other hand, it serves as direct evidence of the lack of cooperation from the Entrepreneur with the President of UODO in the execution of his tasks.

****Proceedings****

Due to the failure of the Entrepreneur to provide the information necessary to resolve the case with reference number DS.523.1341.2021, the President of UODO initiated ex officio – based on Article 83(5)(e) of Regulation 2016/679 – the present administrative proceedings with reference number DKE.561.4.2023, concerning the imposition of an administrative monetary penalty on the Entrepreneur for violating Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679. The Entrepreneur was informed of the initiation of the proceedings by a letter dated February 9, 2023 (reference: DKE.561.4.2023), delivered to the Entrepreneur on February 28, 2023. By this letter, the Entrepreneur was obliged – in order to determine the basis for the penalty calculation, based on Article 101a(1) of the Act of May 10, 2018 on the protection of personal data (Journal of Laws of 2019, item 1781, hereinafter referred to as "u.o.d.o.") – to provide information about the income he achieved in 2022. The Entrepreneur was also informed that the submission of comprehensive explanations, which the President of UODO had previously requested in the proceedings with reference number DS.523.1341.2021, could mitigate the amount of the administrative monetary penalty imposed in these administrative proceedings or lead to the decision not to impose it. Furthermore, the Entrepreneur was informed of the possibility to express his opinion – before the issuance of the administrative decision – regarding the collected evidence and materials as well as the submitted requests.

In response to the information about the initiation of the proceedings concerning the imposition of an administrative monetary penalty by the President of UODO – in a letter dated March 14, 2023 – the Entrepreneur submitted explanations regarding the matter. Regarding the complaint of Mr. B. K., the Entrepreneur indicated that while conducting business activity within a civil partnership with his partner, Mr. R. T., they divided their responsibilities in such a way that the Entrepreneur was responsible for supplying goods to the restaurant operated within the partnership, while the other partner was responsible for personnel and financial matters. Consequently, the fact of sending the PIT-11 form concerning the Complainant to the email address of a third party remained unknown to the Entrepreneur. At the same time, along with the explanations, the Entrepreneur submitted a scan of a document titled "Responsibilities (...)", which functioned within the partnership as the scope of duties of an employee holding the position of (...) (and thus also Ms. K. M.) – which the President of UODO had requested from the Entrepreneur in letters dated February 28, 2022, and September 16, 2022.

Regarding the violation of Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, the Entrepreneur explained that he does not have direct access to the company's documentation, including the personnel documentation concerning Ms. K. M. Due to the fact that the second partner of

the company – Mr. R. T. – is outside the country, contact with him is significantly hindered. In order to comply with the request of the data protection authority, the Entrepreneur obtained from the former partner, via email, only a scan of the document that the supervisory authority required the Entrepreneur to submit.

After reviewing all the evidence collected in the case, the President of the Personal Data Protection Office considered the following.

****Legal Provisions****

According to Article 57(1)(a) of Regulation 2016/679, the President of UODO, as the supervisory authority within the meaning of Article 51 of Regulation 2016/679, monitors and enforces the application of this regulation within its territory. As part of its competencies, the President of UODO, among other things, examines complaints lodged by the data subject or by an entity, organization, or association in accordance with Article 80, conducts proceedings regarding these complaints to the appropriate extent, and informs the complainant of the progress and results of these proceedings within a reasonable time (Article 57(1)(f) of Regulation 2016/679). The President of UODO also conducts proceedings regarding the application of this regulation, including based on information received from another supervisory authority or another public authority (Article 57(1)(h) of Regulation 2016/679).

To enable the realization of the tasks defined in this manner, the President of UODO is entitled to a number of powers specified in Article 58(1) of Regulation 2016/679 concerning the conducted proceedings, including the power to order the controller and the processor to provide any information necessary for the performance of its tasks (Article 58(1)(a) of Regulation 2016/679) and the power to obtain from the controller and the processor...

****Processing Access to All Personal Data and Any Information Necessary for the Execution of Its Tasks (Article 58(1)(e) of Regulation 2016/679)****

A breach of the provisions of Regulation 2016/679, resulting in a violation of the powers of the authority specified in Article 58(1), is subject to an administrative fine of up to EUR 20,000,000, and in the case of an enterprise, up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applicable.

Additionally, both the controller and the processor are obliged, at the request of the supervisory authority, to cooperate with it in the performance of its tasks, as stated in Article 31 of Regulation 2016/679. Failure to comply with this obligation is subject to an administrative fine of up to EUR 10,000,000, and in the case of an enterprise, up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applicable.

The President of the Personal Data Protection Office (UODO) also has a number of corrective powers specified in Article 58(2) of Regulation 2016/679, including the right to issue a reprimand to the controller or processor in the event of a breach of the provisions of Regulation 2016/679 through processing operations. According to Recital 148 of Regulation 2016/679, in order for the enforcement of the provisions of Regulation 2016/679 to be more effective, sanctions, including administrative fines, should be imposed for violations, in addition to or instead of appropriate measures imposed under Regulation 2016/679 by the supervisory authority. If the violation is minor, the monetary penalty may be replaced by a reprimand. However, attention should be paid to the nature, gravity, and duration of the violation, whether the violation was intentional, the actions taken by the controller to minimize damage, the degree of responsibility or any relevant previous violations, how the supervisory authority became aware of the violation, compliance with measures imposed on the controller or processor, adherence to codes of conduct, and any other aggravating or mitigating factors.

Pursuant to Article 60 of the Personal Data Protection Act (u.o.d.o.), proceedings regarding violations of personal data protection regulations are conducted by the President of the UODO. Furthermore, Article 7(1) of the u.o.d.o. states that in matters not regulated by this Act, the provisions of the Act of June 14, 1960, the Code of Administrative Procedure (Dz. U. 2022, item 2000, as amended,

hereinafter referred to as "k.p.a.") apply to administrative proceedings before the President of the UODO (including proceedings regarding the imposition of administrative fines referred to in Chapter 11 of the u.o.d.o.). According to Article 7(2) of the u.o.d.o., these proceedings are single-instance proceedings.

****Legal Assessment****

Referring the above-mentioned provisions of Regulation 2016/679 to the established factual state in this case, it should first be considered whether the Entrepreneur is the addressee of the obligations referred to in Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, the violation of which is subject to an administrative fine under Article 83(4) and (5) of Regulation 2016/679. Both of the aforementioned provisions of Regulation 2016/679 impose procedural obligations—within the proceedings conducted by the President of the UODO—on controllers and processors. The content of the complaint by Mr. B. K. indicates that in connection with his employment at "C." (...) s.c. based in L. at ul. (...), there was an unauthorized disclosure of the complainant's personal data, including his first name, surname, PESEL number, address, and income information contained in the PIT-11 form, by sending it to the email address of a third party. It should be clarified at this point that a civil partnership is solely a contract constituting a joint undertaking of business activities by its partners; it is not a separate entity with rights and obligations. Legal personality on its behalf is held by the partners, as natural persons conducting business activities, and it is the partners who bear responsibility for the activities carried out within the partnership. Therefore, in the case of a civil partnership, it should be recognized that the status of co-controller of personal data should be attributed to the partners of the partnership, as they decide on the purposes and means of processing data, and it is they who bear the obligations arising from Regulation 2016/679. As already demonstrated in the justification section dedicated to factual findings, at the time of the violation described by the complainant, as well as at the time of filing the complaint before the President of the UODO, the Entrepreneur was a partner in "C." s.c. based in L. at ul. (...). This allows us to conclude that the Entrepreneur, in the factual state described by Mr. B. K., acts as a controller with respect to the complainant's personal data contained in the PIT-11 form, which was disclosed to a third party. Therefore, since the Entrepreneur is a controller within the meaning of Article 4(7) of Regulation 2016/679, the President of the UODO was entitled—pursuant to Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679—to request the Entrepreneur to provide personal data and information necessary for the execution of his tasks, in this case for the substantive consideration of the case with reference number DS.523.1341.2021, and the Entrepreneur was obliged—on the same legal basis—to present such information.

President of the Personal Data Protection Office (UODO) in the proceedings with reference number DS.523.1341.2021, in order to establish the factual state of the case, twice – by letters dated February 28, 2022, and September 16, 2022 – requested the Entrepreneur to provide explanations by answering detailed questions regarding the matter. In response to the first request, delivered personally to the Entrepreneur on March 14, 2022, the Entrepreneur submitted only brief explanations, simultaneously refusing to provide evidence to support them. The subsequent request, received by the Entrepreneur on September 21, 2022, and left unanswered, allows for the assumption that the Entrepreneur had an objective opportunity to familiarize himself with its content and to respond within the timeframe set by the personal data protection authority. The lack of response from the Entrepreneur to the correspondence in question, which is undisputed in light of the evidence gathered in this case, resulted in the necessity to initiate administrative proceedings regarding the imposition of an administrative monetary penalty on the Entrepreneur, as a result of which the Entrepreneur only then began to cooperate with the President of UODO and submitted comprehensive explanations in the case with reference number DS.523.1341.2021.

In the opinion of the President of UODO, the justification presented by the Entrepreneur in the letter dated March 14, 2023, for the lack of response to his request (see point 8 of the justification of this decision), although credible, does not constitute a basis for excluding the Entrepreneur's liability. The fact that his partner – Mr. R. T., who is responsible for personnel and payroll matters in the company and is also in possession of the documentation requested by the President of UODO – is abroad does

not relieve the Entrepreneur of the obligation to provide the President of UODO, upon his request, with all information necessary for the supervisory authority to perform its tasks. The Entrepreneur, knowing about the potential difficulties in accessing the documentation requested by the President of UODO, should have promptly informed the personal data protection authority of this fact, which would justify granting the Entrepreneur an additional (longer) deadline for submitting explanations in the case with reference number DS.523.1341.2021. Meanwhile, the Entrepreneur completely ignored the request of the President of UODO and did not provide any justification for his behavior, thereby undoubtedly violating the obligation to cooperate with the supervisory authority. Furthermore, a manifestation of this violation was the submission by the Entrepreneur of explanations that were far from complete in the proceedings with reference number DS.523.1341.2021, as well as the refusal to provide the President of UODO with evidence necessary for a comprehensive clarification of the aforementioned case due to business secrecy. In the opinion of the President of UODO, the described actions of the Entrepreneur (providing brief, evasive responses to specific questions from the supervisory authority that do not require specialized knowledge in the field of personal data protection) clearly indicate a conscious and intentional lack of willingness to cooperate with the President of UODO in establishing the factual state of the case initiated by the complaint of Mr. B. K. and as such cannot remain without reaction.

Considering the above, it should be noted that the delivery of correspondence addressed to the Entrepreneur in the proceedings with reference number DS.523.1341.2021, carried out on March 14, 2022, and September 21, 2022, triggered the commencement of deadlines for performing the actions to which the Entrepreneur was summoned by the President of UODO – in this case, to submit explanations and evidence necessary for the supervisory authority to perform its tasks. The lack of activity from the Entrepreneur in this regard undoubtedly burdens the Entrepreneur.

At the same time, however, recognizing the explanations provided by the Entrepreneur in this proceeding as credible, the President of UODO took the position that the identified violation, consisting of the lack of cooperation with the President of UODO in the performance of his tasks and the failure to ensure access to personal data and information necessary for the performance of his tasks – although it had a deliberate nature – was rectified by the Entrepreneur immediately after becoming aware of the ongoing proceedings regarding the imposition of an administrative monetary penalty, i.e., upon the submission of the Entrepreneur's explanations to UODO on March 19, 2023. Considering the active stance of the Entrepreneur, the President of UODO deemed it justified to issue a reprimand regarding the identified violation of Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, while also assuming that in light of the criteria specified in Article 83(2) of Regulation 2016/679, it would be effective and sufficient. It should be noted, however, that in the event of a similar occurrence in the future, any reprimand issued by the President of UODO against the Entrepreneur will be taken into account when assessing the conditions for imposing an administrative penalty, in accordance with the principles set out in Article 83(2) of Regulation 2016/679 and will be considered against him.

In this factual and legal state, the President of UODO decided as stated in the operative part of this decision.

Instruction

The decision is final. The Party has the right to file a complaint with the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of UODO (address: ul. Stawki 2, 00 – 193 Warsaw). The fee for the complaint is 200 PLN. In the proceedings before the Provincial Administrative Court, the Party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the Party's request submitted before the initiation of the proceedings or during the proceedings. The request is exempt from court fees.

Print article

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